S&P Global
Market Intelligence

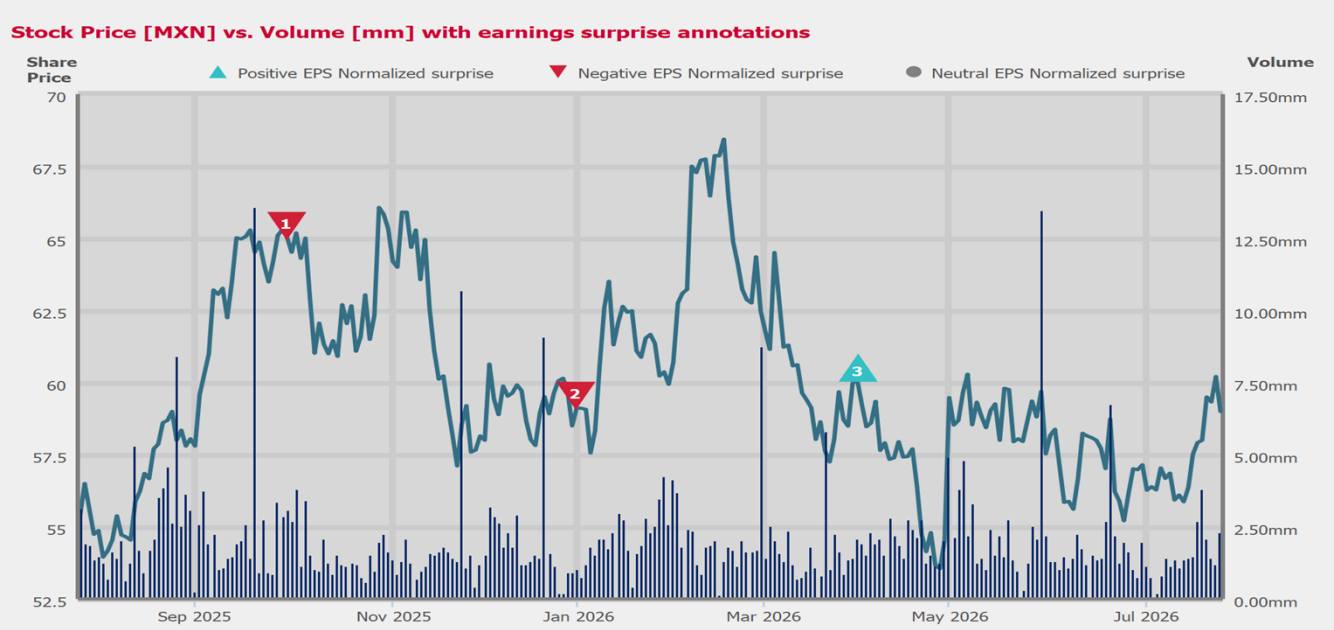
Grupo Bimbo, S.A.B. de C.V. BMV:BIMBO A FQ2 2026 Earnings Call Transcripts

Thursday, July 23, 2026 9:00 PM GMT

S&P Global Market Intelligence Estimates

	-FQ2 2026-			-FQ3 2026-	-FY 2026-	-FY 2027-
	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS	CONSENSUS	CONSENSUS
EPS Normalized	0.75	NA	NA	0.85	3.12	NA
Revenue (mm)	106015.79	105026.00	(0.93 %)	106036.54	425625.09	NA

Currency: MXN
Consensus as of Jul-21-2026 5:34 AM GMT



- EPS NORMALIZED -

	CONSENSUS	ACTUAL	SURPRISE
FQ3 2025	0.82	0.78	1 (4.88 %)
FQ4 2025	0.78	0.73	2 (6.41 %)
FQ1 2026	0.53	0.55	3 3.77 %
FQ2 2026	0.75	NA	NA

COPYRIGHT © 2026 S&P Global Market Intelligence, a division of S&P Global Inc. All rights reserved

Table of Contents

Call Participants 3
Presentation 4
Question and Answer 6

COPYRIGHT © 2026 S&P Global Market Intelligence, a division of S&P Global Inc. All rights reserved

Call Participants

EXECUTIVES

Alejandro Rodríguez Bas
Chief Executive Officer

Diego Gaxiola Cuevas
Chief Financial Officer

Greg Koehrsen
President of Bimbo Bakeries USA

ANALYSTS

Alejandro Fuchs
Itaú Corretora de Valores S.A., Research Division

Álvaro García
Banco BTG Pactual S.A., Research Division

Antonio Hernandez Velez Leija
Actinver Casa de Bolsa, S.A. de C.V., Research Division

Benjamin M. Theurer
Barclays Bank PLC, Research Division

Diego Serrano Flyckt
HSBC Global Investment Research

Fernando Froylan Mendez Solther
JPMorgan Chase & Co, Research Division

Lucas T. Mussi
Morgan Stanley, Research Division

Regina Carrillo Villasana
GBM Grupo Bursátil Mexicano, S.A. de C.V. Casa de Bolsa, Research Division

Renata Fonseca Cabral Sturani
Citigroup Inc. Exchange Research

Copyright © 2026 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

Presentation

Operator

Good day, and welcome to the Grupo Bimbo's Second Quarter 2026 Results and Conference Call. All participants will be in listen-only mode. [Operator Instructions] Please note this event is being recorded.

I would now like to turn the conference over to Alejandro Rodriguez Bas, CEO of Grupo Bimbo. Please go ahead.

Alejandro Rodríguez Bas
Chief Executive Officer

Good afternoon, everyone, and thank you for joining us today. With me on the call are our Chief Financial Officer, Diego Gaxiola; and the President of Bimbo USA, Greg Koehrsen, together with several members of our finance team.

Before turning into the numbers, I would like to express our deepest solidarity with the people of Venezuela and all those affected by the recent earthquakes, including members of our Bimbo family. Our hearts go to everyone affected by this tragedy. Through our alliance with Save the Children, we're helping to channel humanitarian aid to the affected communities, and we have launched a campaign through which people can donate. We encourage anyone who wishes to contribute to do so through this initiative. Grupo Bimbo will match contributions up to $1 million to help extend the reach of this support. To all our friends and colleagues in Venezuela, we stand with you, and we will continue supporting you through the recovery process.

I also want to extend my heartfelt appreciation to our more than 152,000 associates across the globe. Their dedication, their passion for our brands and their day-to-day commitment serving consumers are what continue to power the growth of this company. These results belong to them.

Now turning to the results. We carried our momentum forward this quarter, delivering solid net sales growth on a current neutral (sic) [currency-neutral] basis and further expansion of our adjusted EBITDA margin reaching 14.4%. What is most exciting is the quality of this growth. Even against demanding backdrop in some of our markets, both price mix and volumes moved in the right direction. Growth and margin expansion were led by our 2 largest markets, North America and Mexico, with EAA also delivering strong contribution. North America continued to build on its own recovery, posting a second consecutive quarter of positive sales growth and at a faster pace than the first quarter.

This sustained return to year-over-year growth confirms that the region is improving even as consumers remain under pressure, supported by strong revenue growth management strategy and sharper execution. Perhaps the most encouraging data point this quarter is that we have gained market share across every category in the U.S. for the first time since 2020. This is particularly noteworthy, given that several industry categories continue to face volume pressure. The fact that we're gaining share across all categories and in most cases, growing sales, highlights the effectiveness of our commercial execution, innovation pipeline and revenue growth management strategy. Combined with a double-digit EBITDA margin and another quarter of margin expansion, these results clearly demonstrate that our transformation initiatives are delivering tangible and sustainable benefits and are resonating with consumers.

Mexico delivered another standout quarter showing that we can keep growing profitably even as consumers tighten their spending. The momentum was broad-based across nearly every category and channel, underpinned by the best-in-class service levels, disciplined execution, and the enduring power of our brands. Results in both North America and Mexico were in part supported by incremental consumption associated with the World Cup. EAA continued to shine. Growth was broad-based across the region, with nearly every organization growing in local currency despite a tough comparison base, complemented by the contribution of the Don Don and Bonel acquisitions. It is not -- it is worth noting that this will be the last quarter in which Don Don generates an inorganic effect on our numbers as we acquired it in May of 2025.

Latin America delivered mixed results. Net sales grew in local currencies and profitability held up well across nearly every country. The one exception was Brazil. which, as we anticipated, it's still reflecting the effect of the Wickbold integration process. The related efficiencies will take time to fully materialize.

Looking ahead, we remain mindful of the volatility and uncertainty in the global environment, including ongoing geopolitical tensions. That said, we have strong conviction in the resilience of our business, in the strength of our people, and in the effectiveness of our strategy. We are well positioned to navigate this environment and to continue delivering strong, consistent and sustainable results for our shareholders.

Copyright © 2026 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

With that, let me turn the call over to Diego, who will walk you through the financial details. Diego, over to you.

Diego Gaxiola Cuevas
Chief Financial Officer

Thank you, Alejandro, and good afternoon to everyone. We appreciate you taking the time to join us today. This was without a doubt, an exceptional second quarter, a strong validation of how well we are executing our strategy across the company, the strength of our business model, the operating efficiencies embedded in many of our operations and the breadth of our geographic and category diversification. We are especially pleased with these results given the complexity of the operating environment in several regions and the ongoing geopolitical headwinds.

Despite the backdrop, we delivered strong performance across several key financial metrics, propelled by healthy organic growth in local currencies, the strong operating execution and continued margin expansion. Stripping out the FX translation effect, net sales grew 4.5%, marking our strongest second quarter performance since the second quarter of 2023. The adjusted EBITDA margin reached 14.4%, reflecting solid execution, the productivity benefits of our long-term strategic investments including the North America transformation project, continued supply chain efficiencies, and a disciplined G&A expense management.

One of the highlights of the first quarter was our free cash flow generation. The strong EBITDA performance together with improvements in working capital, allowed us to generate approximately MXN 12 billion of free cash flow, even after investing approximately MXN 7 billion in CapEx. This strong cash generation also allowed us to deleverage the company at the same time that we returned more than MXN 5 billion to shareholders through dividends and share buybacks.

Finally, we're raising our full year guidance. Even though we're expecting a higher inflationary environment impact for the year as a result of the ongoing geopolitical developments, our business has performed better than what we expected. The strong results delivered during the second quarter together with the continued benefits from our transformation and productivity initiatives and the strong operating execution across the organization, give us more confidence in our ability to generate additional efficiencies during the remainder of the year. Therefore, we are raising our EBITDA margin expansion guidance to the range of 70 to 120 basis points for 2026. And we continue to expect net sales, excluding the FX to grow at a mid-single-digit rate, which translates into a flat to a low single-digit decline in Mexican pesos.

On CapEx while we remain fully committed to our long-term strategic priorities. We are refining our full year outlook based on the phasing of certain investments in line with evolving volume trends and market conditions. We now expect CapEx to be in the range of $1 billion to $1.2 billion for the year, compared to our previous guidance of $1.2 billion to $1.4 billion.

While we're not providing guidance for 2027 at this stage, let me share a few thoughts on the environment we are currently seeing. We do expect the inflationary environment to remain challenging. We have seen upward pressure across several key inputs, including wheat, resins and energy and current market conditions suggest that some of these pressures could persist into next year. That said, we believe we are well positioned to navigate this environment. Our productivity pipeline remains strong, supported by automation initiatives, supply chain efficiencies and disciplined cost management. Combined with our revenue growth management capabilities and the continued growth of the business, we expect these actions to help mitigate the inflationary pressures over time.
Thank you. And with that, let's move on into the Q&A. So operator, please go ahead.

Copyright © 2026 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

Question and Answer

Operator

[Operator Instructions] The first question comes from Ben Theurer with Barclays.

Benjamin M. Theurer
Barclays Bank PLC, Research Division

Just a quick one following up and maybe the one for Greg. Looking into the U.S. business, which kind of like kept a relatively good momentum. So I wanted to understand, similar to what you provided a quarter ago, how the performance was across the different categories that you usually report just in comparison to a private label but then also against your peers and where you see maybe opportunity to gain further momentum, market share or whatever you want to call it? And then I have a very quick follow-up for Diego on the guidance.

Greg Koehrsen
President of Bimbo Bakeries USA

Yes, absolutely. Thanks, Ben, for the question. I appreciate it. We were very happy with our performance during the second quarter. As Alejandro and Diego mentioned, we were share positive in all the categories in which we play. And what I would say is that the foundation for that was our continued improved commercial execution, both in terms of how we go to market with our DSD system and then also how we have remained disciplined around pricing and promotion activities. So we feel like we have really established ourselves well in the second quarter and carry momentum going forward.

You also asked about private label. Private label, we see as not just a threat. It's actually an opportunity. We value the offerings within our branded portfolio, but we're also a producer of private label as well, and we use it strategically with some of our key customers. So we continue to see positive momentum in both our branded business and also our private label business.

Benjamin M. Theurer
Barclays Bank PLC, Research Division

Okay. Perfect. And then Diego, just if you could clarify real quick. I remember first quarter when you gave the EBITDA margin guidance initially, it was $60 million to $110 million, but it included like that 20 basis point headwind from the Iran conflict. Is it fair to assume that the now increase of margin by 10 basis points, it's just because of less of an impact from Iran? Or is there something else that helps you offsetting what the 20 basis points that you've mentioned about 3 months ago as a headwind? How should we think about it? What's driving the increase here?

Diego Gaxiola Cuevas
Chief Financial Officer

Yes. Very good question, Ben. Yes. In fact, I mean, at the end of the first quarter, we did anticipate like a $50 million impact in inflation for the remaining 9 months of 2026. As the conflict has continued, and we have seen additional inflation than what at that time we were expecting, we now have a higher impact. It's more in the range of $70 million to $90 million for the year. Of course, this is including what we already faced during the second quarter. So this basically translates to something around 35 to 45 basis. But even though we increased the impact from this inflationary impact we are increasing the guidance approximately 10 additional basis. So if we were to exclude this additional inflationary impact, our guidance would have been even more positive. So I don't know if I was clear, Ben.

Benjamin M. Theurer
Barclays Bank PLC, Research Division

Yes. Basically, it would have been 30 basis points if it would have been unchanged, but now it's only 10, correct? Yes, how to think about it, give or take. Okay, super clear, thank you very much Diego, and congrats.

Operator

The next question comes from Renata Cabral with Citigroup.

Renata Fonseca Cabral Sturani
Citigroup Inc. Exchange Research

Copyright © 2026 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

My question will be towards the Mexican operations, and we saw volumes growing and there's some mentions about the World Cup. So I would like to understand if you can give some color on how much the World Cup helped here? On the same line? So if you can give some color on if you see any signs of consumer improvement in the quarter. And related to EBITDA margin in Mexico, if those levels you think are sustainable?

Alejandro Rodríguez Bas
Chief Executive Officer

Thank you, Renata, for the question. So let me divide it in 2 pieces. The World Cup and its benefit. We had a positive contribution from the World Cup. Buns and rolls and snacks are part of the festivities. We had favorable momentum across all channels. But the reality is the incremental tailwind rather than -- it was an incremental tailwind rather than the primary driver for performance. So it's really been our ability to service and be present this summer.

Now the Mexican consumer. I think we have a resilient consumer environment in Mexico. Demand for our categories remains healthy, and this summer has proven to be for the third time in consecutive quarters in the mid-single-digit sales growth and we have benefited from a favorable seasonal dynamic. So what we see ahead is the ability to sustain this momentum. Now the reality is our strategic initiatives are working and despite that in some spaces, there are softness we continue to enhance our value proposition. We continue to capture seasonal opportunities by being there at the moment of consumption. We're investing in driving engagement, reminding consumers that we're ready to serve, and finally, strongly executing at the point of sale, and that has helped us to reach a record EBITDA margin.

Diego Gaxiola Cuevas
Chief Financial Officer

And Renata, this is Diego. An answer regarding the commodities and also in terms of what we think on the sustainability of our margins in our operations in Mexico. In terms of commodities, as of the end of the second quarter, we haven't really seen still the impact that started to happen because of the conflict, generally speaking. Why? Because, as you know, we have a hedging strategy that provides the visibility for the different operations of the company. And because of this strategy, we still haven't seen the impact.

What I mentioned is that it's looking tougher for 2027 as we continue to execute this strategy. We are taking positions today at a higher cost of the one that we're facing in 2026. So definitely, we will have some impact and some headwinds regarding inflation for 2027. Early to tell on more details, but as I said, we feel confident that we're going to be able to continue to generate efficiencies and productivity initiatives, and continue with the transformation in the U.S. that will help us offset the potential impact that we're foreseeing today.

In terms of Mexico, being able to sustain the margin, I would say, yes, and not only that, I mean, in fact, we're targeting with a long-term view to continue to have improvement in the margin of Mexico. Now as of the end of June on an accumulated basis, we have 100 basis of incremental margin, which is very positive. We have had a very good operating performance. We had the positive effect of the World Cup that contributed a little bit to the margin expansion in the second quarter and also remember that in the first quarter, we had the positive extraordinary income of selling the minority participation that we used to have in La Moderna, and this created an extraordinary positive effect. But even excluding these effects, we're seeing a good year, a strong performance and we do not have a reason not to believe that we're going to be able to continue seeing improvements in our profitability in Mexico and, of course, in the other operations as well.

Renata Fonseca Cabral Sturani
Citigroup Inc. Exchange Research

That was really helpful. And congrats on the results.

Operator

The next question comes from Lucas Mussi with Morgan Stanley.

Lucas T. Mussi
Morgan Stanley, Research Division

Congrats on the results. Two quick questions. First one on the U.S., maybe if you could share a bit more color on how much do you see your innovation pipeline, new lines, new SKUs, maybe the participation of the healthiness and wellness portfolio has played out in your performance in the last 2 quarters or so where you were able to go back to the positive sales growth. So a bit more color on innovation as it pertains to your top line growth, if you could share a bit?

Copyright © 2026 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

And then my second question to maybe to Diego, is, we have seen your eliminations EBITDA or your other EBITDA is slightly negative this quarter. It has been mostly positive for the last couple of years. So I don't know if it was an accounting issue or an accounting one-off. But if you could share some thoughts there just for us to understand a little bit better how to think about your eliminations or your others line going forward?

Greg Koehrsen
President of Bimbo Bakeries USA

Absolutely. This is Greg. Thanks for the question. As it relates to innovation and specifically, I think your question was around health and wellness, we've been pretty pleased with the results of our innovation in the health and wellness space. Two things I think we've talked about in the past, but just to highlight them again, our Thomas' high-protein bagels and our Sara Lee half loaves continue to outperform our expectations that we've had. So it's given us an opportunity to really lean into consumer spaces that value, let's say, health and wellness and premium.

I would say, too, in addition to that and just to go back to some of the things that we talked about earlier is we're present in 83% of U.S. households. So we participate in a premium or health and wellness portion of the market. We participate in mainstream, and we participate in more value segment of the marketplace. And because of that, we have offerings that we can make to every consumer cohort within the United States, which we're very happy about. And so because of that, our offerings of innovation, not only along health and wellness, but even around indulgence has been performing in a way that we've met our expectations and even exceeded our expectations.

And just to underline a little bit the execution that we have -- the execution gains and improvement that we've made in our operations are really impacting the full breadth of our portfolio in the health and wellness and premium segment and also in mainstream and value. And I'll turn it over to Diego for the second question.

Diego Gaxiola Cuevas
Chief Financial Officer

So Lucas, regarding the eliminations, I'm going to be completely honest and open here. I do not have the color, but I will make sure that the IR team gets back to you and gives you a little bit more on the potential accounting effects that we had during the quarter. I'm probably sure that it's something unique for the quarter that would not necessarily prevail for the coming periods.

Operator

The next question comes from Alejandro Fuchs with Itau.

Alejandro Fuchs
Itaú Corretora de Valores S.A., Research Division

Congratulations on the results. I just have one very quick one in terms of capital allocation, maybe for Diego. Now with the new guidance expected for CapEx and the very strong cash flow generation this year, what would be some of the priorities to allocate this better free cash flow generation? And if you could maybe elaborate a little bit which of the projects on the CapEx side, are you going to be pushing forward or why the lower CapEx?

Diego Gaxiola Cuevas
Chief Financial Officer

Yes. Alejandro, Well, I mean, definitely, cash generation has been better than what we expected, as I already mentioned, because of the operating performance and also some CapEx projects that are running behind schedule, and it has been a little bit harder to execute the program. But I would say that the capital allocation of the company is not changing. I mean, we have had and we will continue to have the #1 priority to put money back into the business. It's been the case, even though it's behind what we thought. It's almost $400 million in the first half. And as I said, we're expecting something between $1 billion to $1.2 billion. So it's going to be the highest use of our cash generation for the CapEx. And of course, this includes the 3 buckets, it's maintenance, growth and productivity. So dividends, buybacks will continue to be more or less to the same extent, we already paid a dividend of 2026. So we do not see anything additional or extraordinary.

Operator

The next question comes from Antonio Hernandez with Santander.

Antonio Hernandez Velez Leija

Copyright © 2026 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

Actinver Casa de Bolsa, S.A. de C.V., Research Division

This is Antonio Hernandez from Actinver. Well, my congrats on your results, very, very solid. Just a quick one regarding foodservice. I mean it wasn't mentioned this time, and I guess it's a headwind right now. But do you expect any recovery in the short to medium term and maybe to contribute to results as well?

Alejandro Rodríguez Bas
Chief Executive Officer

We did mention a little bit about it, Antonio. And in North America, we continue to reflect value-driven consumer behavior, and we're working hard to excel in this geography. In Europe and Asia, we have a healthy growth. Asia demands are strong, and they remain strong. So we're growing. In the case of Brazil, we continue to perform well. And in overall, the QSR channel remains very, very healthy.

Diego Gaxiola Cuevas
Chief Financial Officer

And here, let me probably complement you a little bit, Alex. Regarding North America, I would say that even though it hasn't been the best couple of quarters, we're seeing this also as an opportunity to attack some other customers as the ones that we were serving have been closing some units. So I think we're going to be able to capitalize and materialize this opportunity for 2027.

Operator

The next question comes from Alvaro Garcia with BTG Pactual.

Álvaro García
Banco BTG Pactual S.A., Research Division

I have a question on the U.S., which I think could be extended to most of your geographies. But the question is on pricing. We've been on this sort of multiyear battle to get sort of volume share back on the right track. It's been a difficult pricing environment. It's been very promotional. You had very clear commentary on having gained share this quarter across all categories. I was wondering, given your comments on sort of this inflationary environment we're living in and how '27 is looking trickier, how you're thinking about pricing into the second half of this year and into 2027?

Greg Koehrsen
President of Bimbo Bakeries USA

Yes, absolutely. I mean as you know, Alvaro, we don't provide specific guidance as it relates to pricing. But what I can share is that we've been pretty disciplined over the last year plus on the pricing actions that we've taken and the promotional actions that we've taken. And I think the teams, let's say, improvement and commitment to that has -- we've reaped benefits from that.

We're going to continue to do the same thing going forward. And again, this really is different by subcategory and subsegments. So we're going to think about this differently in, let's say, a premium and health and wellness environment where consumers are asking for certain things and potentially differently in a value proposition environment. So I know that doesn't fully answer your question, but I would say that we're looking at it very carefully across all subsegments to make sure that we have the right pricing and promotional actions across all of those segments.

Alejandro Rodríguez Bas
Chief Executive Officer

But Alvaro, we need to focus on another P, which is the 1 we can control internally, and that is productivity. We believe that consumers are facing challenging times around the world, and we need to be able to compensate within.

Operator

The next question comes from Diego Serrano with HSBC.

Diego Serrano Flyckt
HSBC Global Investment Research

Copyright © 2026 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

Just wanted to ask about Brazil and Wickbold. So you mentioned that the benefits will still take some time to materialize. So with that in mind, could you talk about what's left to do there, what these efficiencies are -- and when are you expecting them? And then maybe comment about the long term, maybe on how meaningful do you think this Brazil business can become for the group?

Alejandro Rodríguez Bas
Chief Executive Officer

Let me start from the end. So Brazil, it's becoming very meaningful within the region, the LATAM region. Now as much as we have identified several key initiatives, both in operation and commercial improvements, and we continue to keep a diversified separated portfolio, we've decided to better understand the ins and outs of Wickbold. So rather than materializing really fast, we believe that it's going to gradually be done over the coming quarters. It's a big company. We need to find good synergies and it's going to take longer, but we'd rather do it slowly than at an accelerated pace that could put us in trouble.

Operator

The next question comes from Regina Carrillo with GBM.

Regina Carrillo Villasana
GBM Grupo Bursátil Mexicano, S.A. de C.V. Casa de Bolsa, Research Division

Congratulations on the results. I just wanted to ask you if the lower CapEx, does this raise your expectations for more free cash flow generation for the year? And maybe where do you see the leverage evolving towards the end of the year?

Diego Gaxiola Cuevas
Chief Financial Officer

Yes. Well, definitely, we now expect to generate more cash than what we commented on the previous call because of two things. One, we're more or less leaving the same expectation on the top line, but we are increasing, as I said, the margin and this will translate into a higher EBITDA. At the same time, we're lowering a little bit, probably $100 million to $150 million, the guidance on the CapEx and that, of course, will also translate into additional cash flow. And part of this is already reflected to what we have seen during the first half. And that is why we are now at 2.5x net debt to EBITDA.

Remember that we were at 2.7 at the end of 2025. We were at 2.9 a year ago. So the deleverage of Grupo Bimbo has been fast, and it has been driven mainly by our operational results as we have continued to have as a priority, the CapEx. And as you also know, we have continued to do some acquisitions. Now during the first half of the year, acquisitions have been very slow. It has been only Bonel, which was a very small acquisition in Tunisia, but not material. This is not changing the guidance.

We do expect and we hope to be able to close some bolt-on acquisitions during the second half. It's hard to tell how many of the projects we're going to be able to conclude in this specific time period. But again, we have a strong pipeline of bolt-on acquisitions that make a lot of sense and have a very relevant strategic edge for the different operations of the company. Now if we were to assume that we do not close any acquisitions, we will continue to see a deleverage. And I think you can do the math and the conclusion is quite obvious, both because of the cash generation, but also because of the growth of the EBITDA.

Operator

The next question comes from Froylan Mendez with JPMorgan.

Fernando Froylan Mendez Solther
JPMorgan Chase & Co, Research Division

I have two, one on the U.S. Firstly, you're now back to positive sales growth, and you mentioned gain shares. Could you help us to understand what actually changed on the ground to drive this turnaround? Has it to do with your pricing strategy, maybe the new distribution channels or simply a category that is gaining share against others? And a similar question, but in Mexico, we are seeing, let's say, a very weak consumer backdrop. You see the results from the retailers, a big deceleration, but Bimbo seems to be a quite strong exception in that trend. What do you think explains that decoupling from the rest of the industry performance? And in that sense, who do you think is funding more of the promotional activity today between suppliers or CPGs versus the retailers? So three questions, in fact.

Greg Koehrsen
President of Bimbo Bakeries USA

Copyright © 2026 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

Absolutely. Thanks. I'll take the first question as it relates to the U.S. Yes, fundamentally, and I think we -- I mentioned this a couple of times, but the main driver, I would say, of our improved share performance has been our commercial execution. And that impacts all of the categories in which we play. So it's really a credit to the team in terms of how we've done that. I would add to that, we continue to be very disciplined around our pricing and promotion activities. And we believe that these are things that we can continue going forward. So we're excited about the momentum that we've built.

Alejandro Rodríguez Bas
Chief Executive Officer

Now in the case of Mexico, we remain focused on delivering the right value proposition through a balanced price pack architecture and well-targeted product mix. And we continue to leverage our innovation, but especially our best-in-class execution at the point of sale. And the reality is we continue to expand our distribution network of all our SKUs, and we're working really hard internally to develop a better, more precise sales and operation planning and sales and operation execution. So I think the result has been driven in this difficult consumer environment for being there at the moment of truth, servicing our clients and expecting the response that has been positive from our customers and consumers.

Now you ask me who's spending more money if it's the retailers or the manufacturers, honestly, I don't have the answer. I haven't seen it. I know there's been softness, but at the same time, there's a lot of opportunities, and that's where we're focused. We're focused in servicing better, in having things on time, and have the right assortment at the right place.

Fernando Froylan Mendez Solther
JPMorgan Chase & Co, Research Division

And what about the channel performance between the formal, informal, maybe the convenience? Can you give us some color on how has that channel performed differently in Mexico so far?

Alejandro Rodríguez Bas
Chief Executive Officer

Yes. In our case, all channels delivered growth. Now coupled with the effect of the summer and with the enhancement of the World Cup, convenience became stronger in this period. But everywhere, we've seen this same growth. So we're trying to find our space everywhere. And I think for us, that's the name of the game to be focused on what we do best, which is service.

Operator

This concludes the question-and-answer session. I would like to turn the conference back over to management for any closing remarks. Please go ahead.

Alejandro Rodríguez Bas
Chief Executive Officer

Thank you all for joining us today. Please feel free to reach out to our Investor Relations team with any additional questions or comments you may have. And we wish you a happy rest of your summer.

Operator
The conference has now concluded. Thank you for attending today's presentation. You may now disconnect.

Copyright © 2026 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

Copyright © 2026 by S&P Global Market Intelligence, a division of S&P Global Inc. All rights reserved.

These materials have been prepared solely for information purposes based upon information generally available to the public and from sources believed to be reliable. No content (including index data, ratings, credit-related analyses and data, research, model, software or other application or output therefrom) or any part thereof (Content) may be modified, reverse engineered, reproduced or distributed in any form by any means, or stored in a database or retrieval system, without the prior written permission of S&P Global Market Intelligence or its affiliates (collectively, S&P Global). The Content shall not be used for any unlawful or unauthorized purposes. S&P Global and any third-party providers, (collectively S&P Global Parties) do not guarantee the accuracy, completeness, timeliness or availability of the Content. S&P Global Parties are not responsible for any errors or omissions, regardless of the cause, for the results obtained from the use of the Content. THE CONTENT IS PROVIDED ON "AS IS" BASIS. S&P GLOBAL PARTIES DISCLAIM ANY AND ALL EXPRESS OR IMPLIED WARRANTIES, INCLUDING, BUT NOT LIMITED TO, ANY WARRANTIES OF MERCHANTABILITY OR FITNESS FOR A PARTICULAR PURPOSE OR USE, FREEDOM FROM BUGS, SOFTWARE ERRORS OR DEFECTS, THAT THE CONTENT'S FUNCTIONING WILL BE UNINTERRUPTED OR THAT THE CONTENT WILL OPERATE WITH ANY SOFTWARE OR HARDWARE CONFIGURATION. In no event shall S&P Global Parties be liable to any party for any direct, indirect, incidental, exemplary, compensatory, punitive, special or consequential damages, costs, expenses, legal fees, or losses (including, without limitation, lost income or lost profits and opportunity costs or losses caused by negligence) in connection with any use of the Content even if advised of the possibility of such damages. S&P Global Market Intelligence's opinions, quotes and credit-related and other analyses are statements of opinion as of the date they are expressed and not statements of fact or recommendations to purchase, hold, or sell any securities or to make any investment decisions, and do not address the suitability of any security. S&P Global Market Intelligence may provide index data. Direct investment in an index is not possible. Exposure to an asset class represented by an index is available through investable instruments based on that index. S&P Global Market Intelligence assumes no obligation to update the Content following publication in any form or format. The Content should not be relied on and is not a substitute for the skill, judgment and experience of the user, its management, employees, advisors and/or clients when making investment and other business decisions. S&P Global Market Intelligence does not act as a fiduciary or an investment advisor except where registered as such. S&P Global keeps certain activities of its divisions separate from each other in order to preserve the independence and objectivity of their respective activities. As a result, certain divisions of S&P Global may have information that is not available to other S&P Global divisions. S&P Global has established policies and procedures to maintain the confidentiality of certain nonpublic information received in connection with each analytical process.

S&P Global may receive compensation for its ratings and certain analyses, normally from issuers or underwriters of securities or from obligors. S&P Global reserves the right to disseminate its opinions and analyses. S&P Global's public ratings and analyses are made available on its Web sites, www.standardandpoors.com (free of charge), and www.ratingsdirect.com and www.globalcreditportal.com (subscription), and may be distributed through other means, including via S&P Global publications and third-party redistributors. Additional information about our ratings fees is available at www.standardandpoors.com/usratingsfees.
© 2026 S&P Global Market Intelligence.